

12 Valuation of investments

5 primary questions | Oldest to newest

2026 objectives: 4.4.2, 4.4.4

4 related questions are filed elsewhere in this volume. Find them by selecting this chapter and enabling related topics in [index.html](#).

Click a question below to begin.

CA1-P2 April 2007 Q2	7 marks
CA1-P2 September 2008 Q1	8 marks
CA1-P2 April 2010 Q2	9 marks
CA1-P2 September 2012 Q2	13 marks
CA1-P2 April 2017 Q3	12 marks

CA1-P2 | April 2007 | Q2

Current topic | 7 marks total | Original PDF p2

Related: Ch 8.

- 2** A company has issued a corporate bond with an option to convert it into the ordinary shares of the company.

Describe possible methods of valuing this bond. [7]

CA1-P2 | September 2008 | Q1

[Current topic](#) | [8 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

- 1**
- (i) Describe two of the main methods that can be used to value the assets of a pension scheme. [3]
 - (ii) Explain why valuations of the assets of a defined contribution pension scheme may be needed. [5]
- [Total 8]

CA1-P2 | April 2010 | Q2

Current topic | 9 marks total | Original PDF p2

Examiner report and original paper: use the links for this question in [index.html](#).

2 An investor wishes to assess the value of an equity holding by calculating the value of the estimated future dividends payable.

(i) Set out, defining any terms and assumptions you use, the following models for carrying out this assessment:

(a) the general model;

(b) the simplified model assuming both the discount rate and dividend growth rate are constant.

[4]

The next annual dividend on this holding is due tomorrow and will be 100 cents.

(ii) (a) Calculate the value of the equity holding, using the simplified model in (i), and assuming dividend growth rate of 2% a year and discount rate of 5% a year.

(b) Calculate the effect on the value if dividend growth is 10% for each of the first two years, and then reverts to 2% a year. [2]

(iii) Explain how the calculated value of the equity holding could allow for uncertainty. [3]

[Total 9]

CA1-P2 | September 2012 | Q2

Current topic | 13 marks total | Original PDF p2

Related: Ch 16, Ch 11.

- 2** (i) Discuss the advantages and disadvantages of using market values for the valuation of the assets of a pension scheme. [4]

- (ii) Suggest why using:

- (a) smoothed market values
- (b) discounted cash flow values

may not be suitable alternatives to market values for the valuation of assets of a pension scheme. [2]

It is three years since the last scheme valuation. The average annual return on the domestic equity portfolio of a pension scheme over the three years has been lower than half the average domestic equity annual return over the ten years prior to the last scheme valuation.

- (iii) Suggest possible reasons for this relative fall in returns. You should consider both market and scheme specific factors. [7]
[Total 13]

CA1-P2 | April 2017 | Q3

[Current topic](#) | [12 marks total](#) | [Original PDF p2](#)

Examiner report and original paper: use the links for this question in [index.html](#).

3 A regulator in a country requires assets in occupational benefit schemes to be valued on the following basis:

- 80% of market value for all assets which are quoted on an active market
- assets which are not quoted are inadmissible

(i) Suggest why this approach might have been adopted. [2]

(ii) Comment on the disadvantages of this approach. [4]

The regulator has decided to change its policy to allow an application from a benefit scheme to use an alternative method to value its assets. The method will need to relate the value of the assets to the value of the liabilities.

(iii) Discuss the methods that could be proposed for the valuation of assets. [6]

[Total 12]